Where to Play

Strategy – Day 1

Professor Mark DesJardine

Agenda

1. What is strategy how do companies maximize their value capture? (~25 min)

2. Understanding the macro environment (~25 min)

3. Understanding the industry (~35 min)

4. Wrap (~5 min)

After today, you will be able to:

1. **Distinguish strategy** from operations and other business activities

2. Complete a **PESTLE** (macro-level) analysis

3. Complete a **Five Forces** (industry-level) analysis

4. **Understand the role of the external environment** in strategic planning

Underlying logic: You **cannot** develop a sound strategy or accurately calculate a company's value without first understanding the external environment in which it competes—and how it fits in.

What is Strategy?

What is strategy?

Strategy is a game plan for a business to achieve sustainable competitive advantage

A **hard-to-reverse** set of **integrated choices** with conscious **rejection** of alternative choices

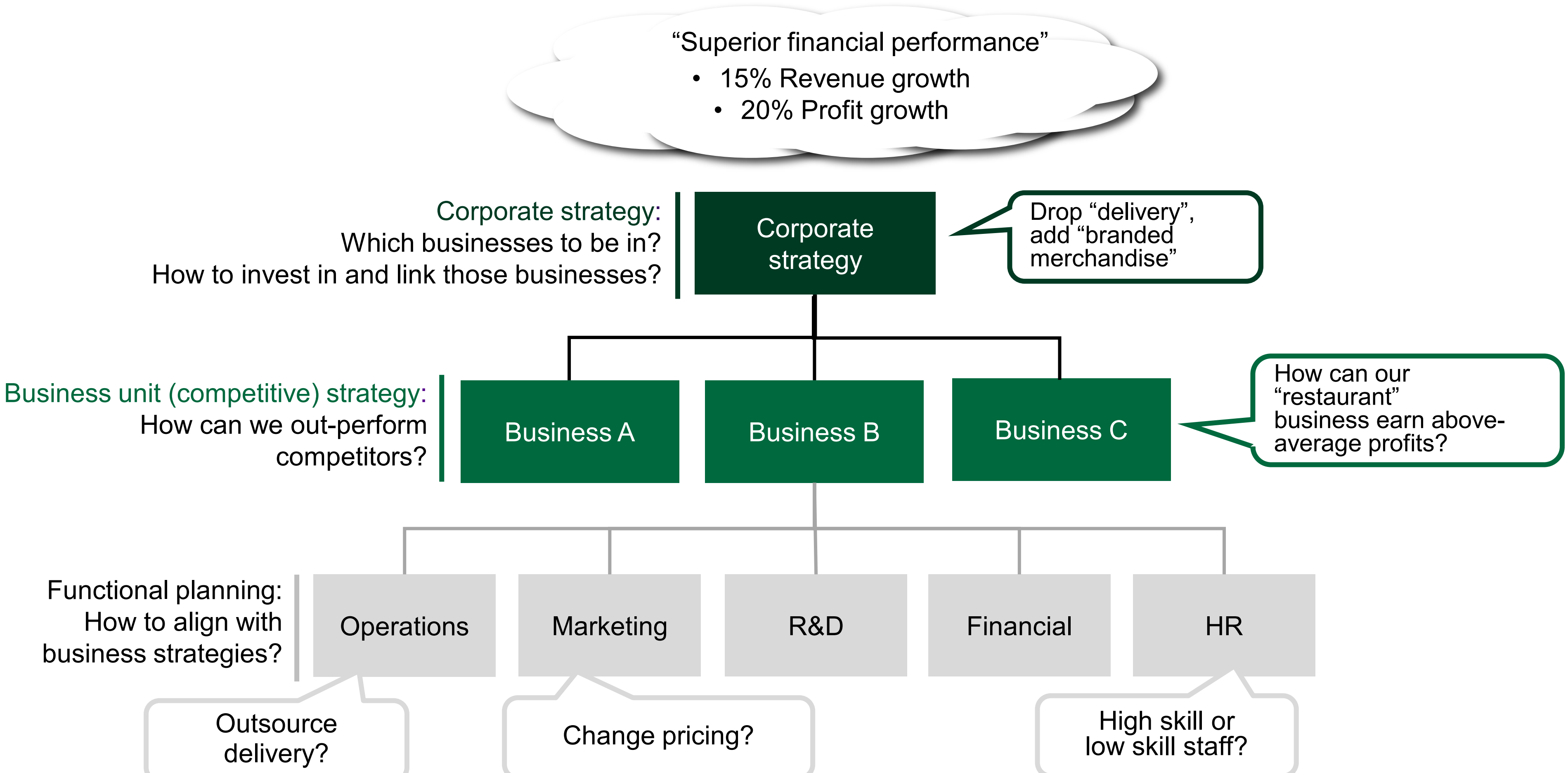
Clarity on what not to do

Long term: typically **years**, not months

Need for **persistence** in the face of change

The <u>objective</u>: Achieving **superior financial performance** compared to rivals

What makes strategy, “strategy”?



What does strategy require according to Porter's "What is Strategy"?

1. A **unique, valuable position** (variety, needs, or access-based)

2. **Trade-offs** — choosing what not to do

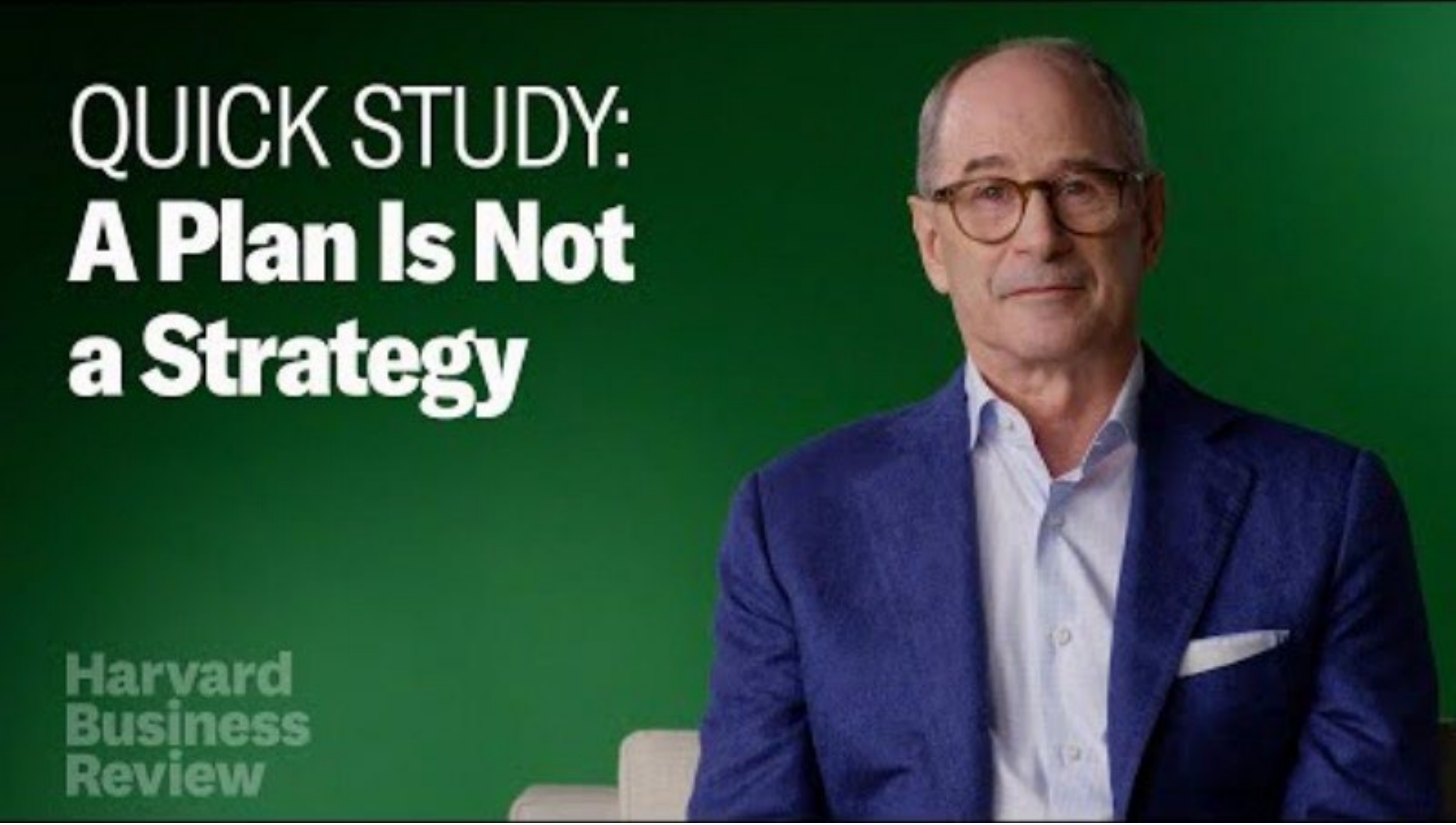
   Why are trade-offs beneficial from a strategic point of view?

3. **Fit** — activities that reinforce and amplify one another

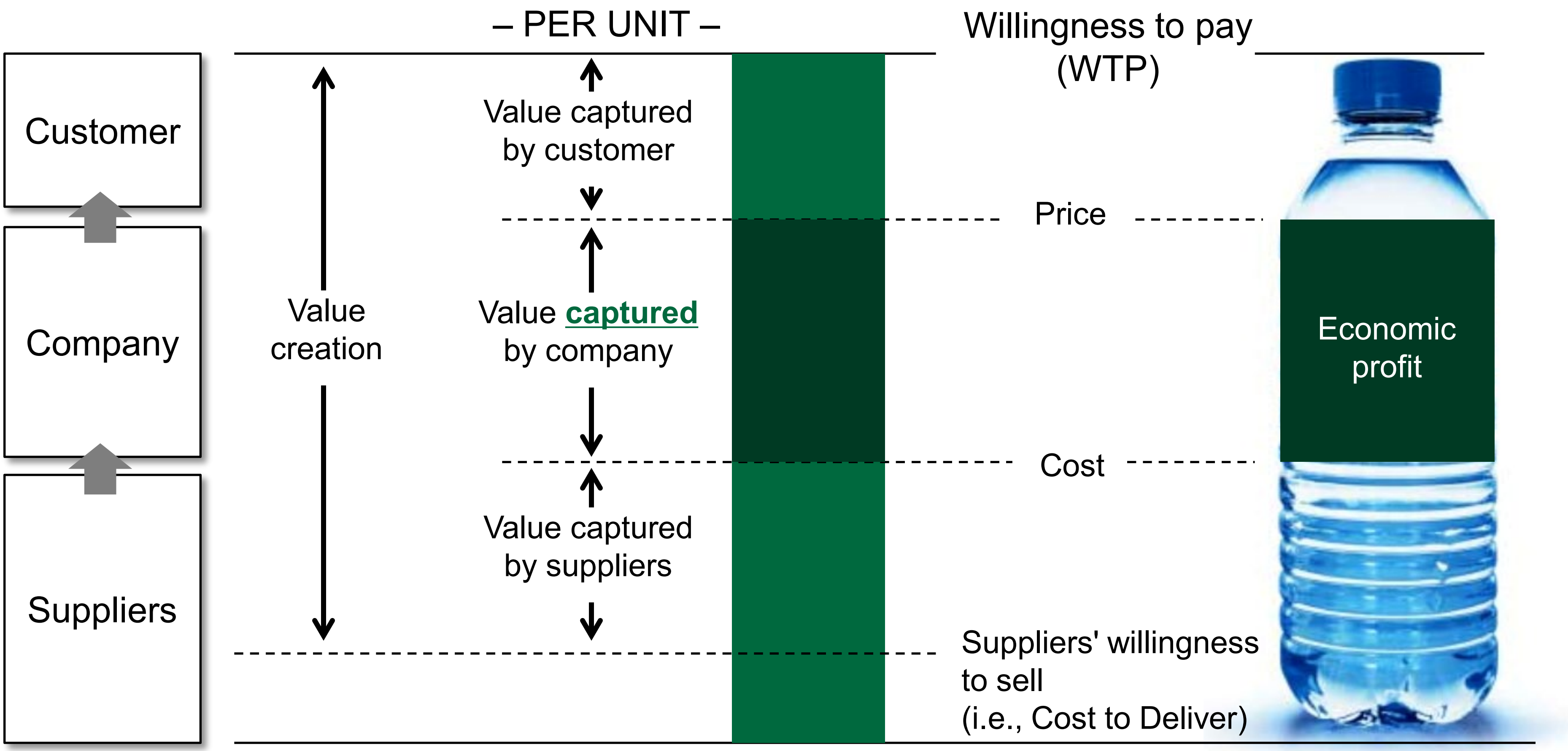
CANVAS: Operational effectiveness vs. strategy. In your own words, what is the difference between operational effectiveness and strategy? Why does Porter argue that operational effectiveness, however strong, is not enough for sustainable advantage?

Elements of a successful strategy

1. Goals that are simple, consistent, and long term
2. A set of **coherent actions** to implement the firm's guiding policy
3. Deep understanding of competitive environment
4. Objective appraisal of resources & capabilities
5. Effective implementation


QUICK STUDY:
A Plan Is Not a Strategy
Harvard Business Review

The foundation of competitive advantage is economic value creation and capture (VCC)



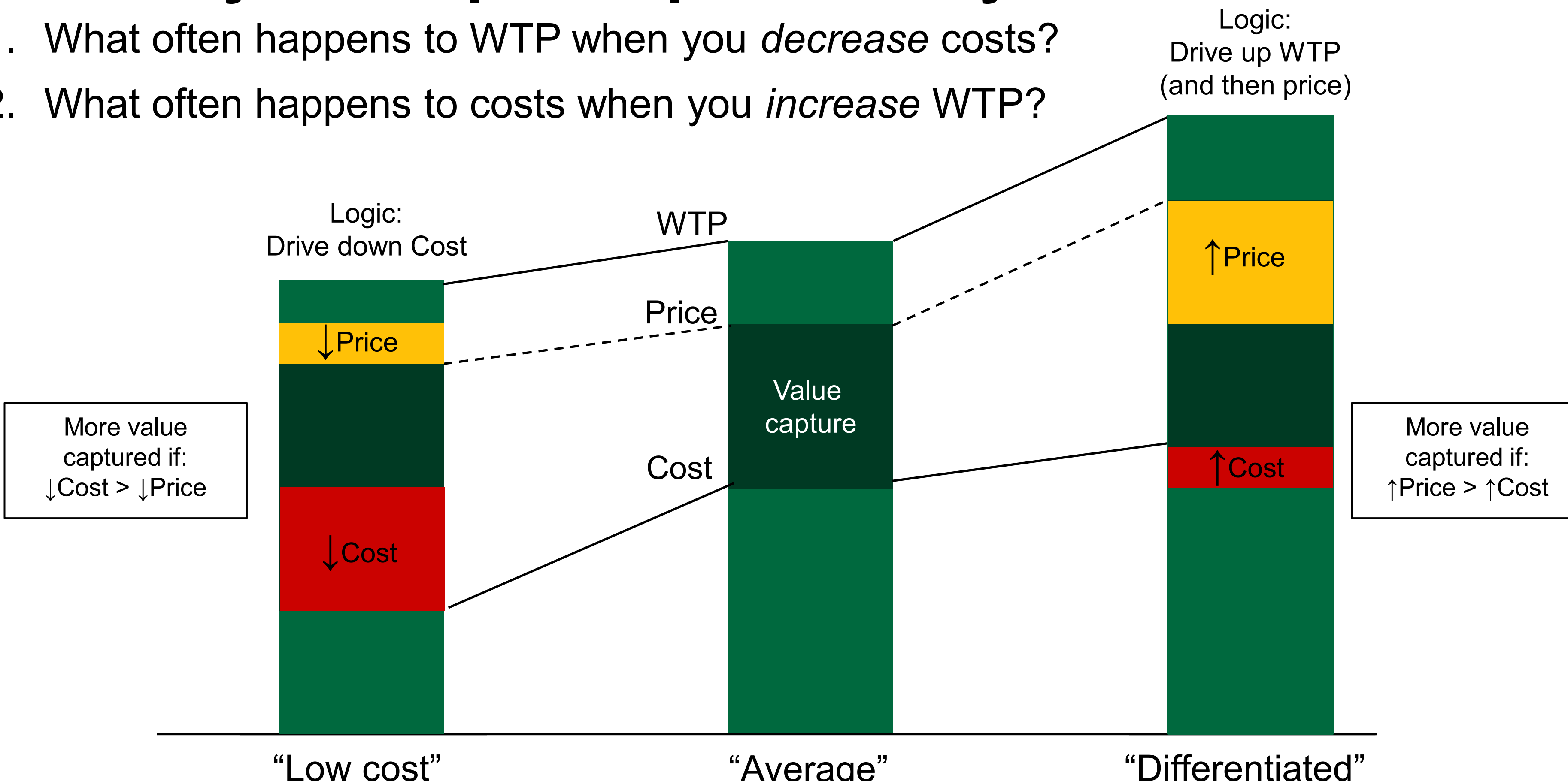
How could a company increase the value that it creates for bottled water?

Decrease Costs (Cost to Deliver)	Increase Price (Willingness to Pay)

CANVAS: The value wedge. Competitive advantage comes down to the gap between customers' willingness to pay (WTP) and the cost to deliver. For your Capstone company, explain one way it could widen that gap—by raising WTP, lowering cost, or both.

Pathways to superior profitability

1. What often happens to WTP when you *decrease* costs?
2. What often happens to costs when you *increase* WTP?



The strategic question is never "could we raise WTP?" — it's "is the WTP gain worth the cost we give up?" [and conversely with cost reduction]

Widening the wedge means committing to specific activities

Level	The thinking
Vague answer	"Make flying more pleasant so people pay more."
Concrete outcome	Premium travelers **pay a fare premium** vs. American/United on the same route.
Activity	Build out Delta One suites and expand Sky Club lounges at hub airports.
Investment	~$12B+ multi-year fleet retrofit (lie-flat seats, door-enclosed suites) + lounge real estate and staffing.
Trade-off	Fewer seats per plane → lower capacity per flight, and high fixed cost. The bet: the WTP lift on premium fares more than offsets the lost coach revenue and added cost.

outcome → activity → investment → trade-off

Two overarching questions in strategy

1. <u>Where</u> to play? → Today

2. <u>How</u> to play? → Next session

Macro environment

How to develop a sound strategy

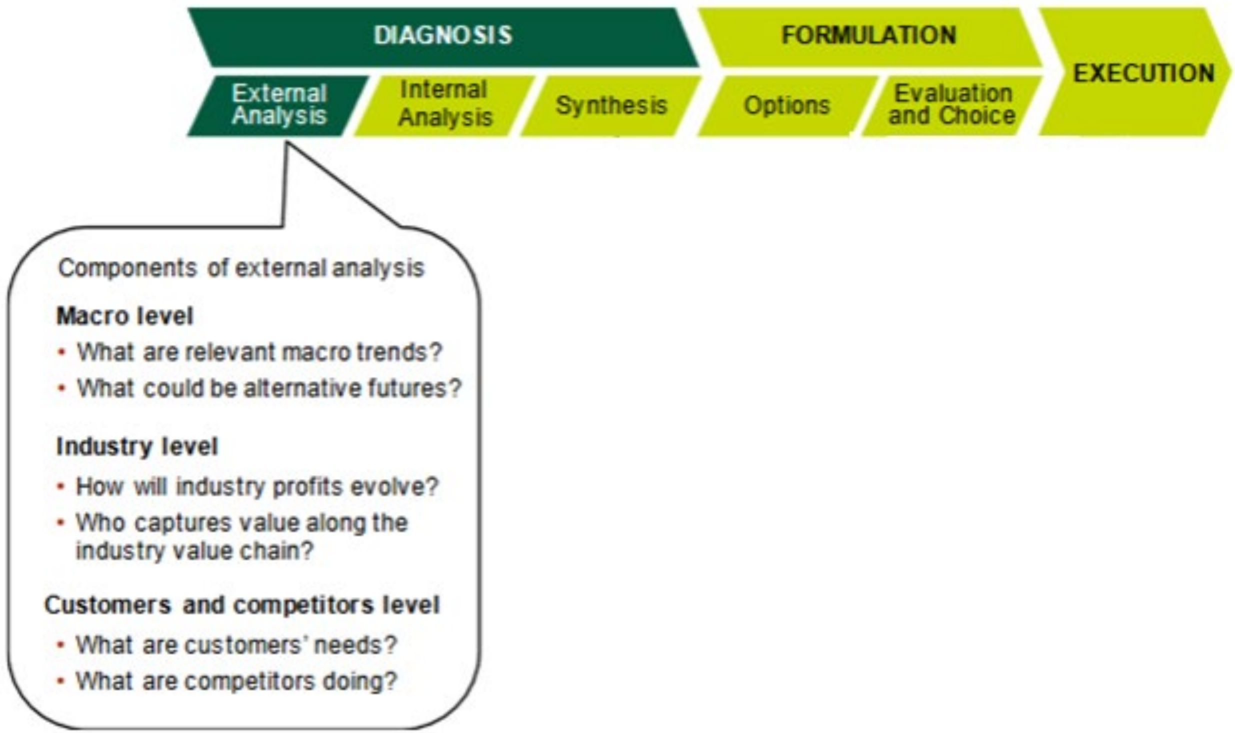


Figure 1: The role of external analysis in the strategy process

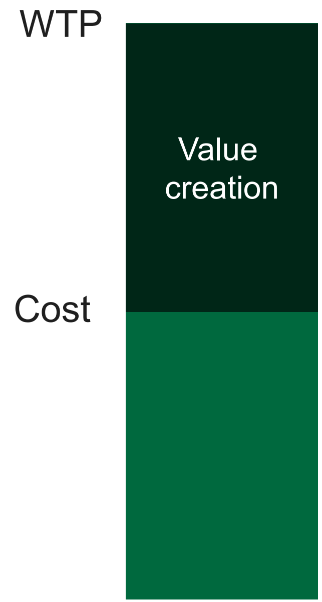
Source: Gimeno et al. (2017)

PESTLE analysis

Identify macro “factors” under six “segments”...

- **P** olitical
- **E** conomic
- **S** ocial
- **T** echnological
- **L** egal (or regulatory)
- **E** nvironmental (the physical environment/ecological)

... then **link** to drivers of value creation



WTP (demand) drivers, e.g.:
- New product features
- Substitutes and complements
- Social trends

Cost (supply) drivers, e.g.:
- Input costs
- Regulation of taxes, competition restriction

Where does each headline fit in PESTLE?

THE WALL STREET JOURNAL.

Generative AI Is Already Changing White-Collar Work as We Know It

Executives from Walmart, ZipRecruiter, Yelp and other companies share their thoughts on ChatGPT

REPORT

Half a million fewer children? The coming COVID baby bust

Melissa S. Kearney and **Phillip B. Levine** · Monday, June 15, 2020

The New York Times

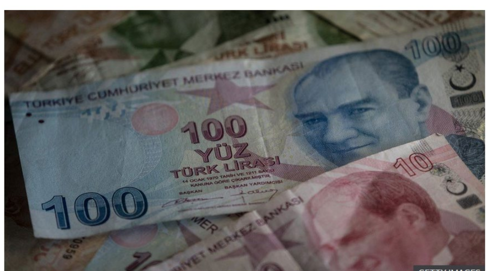
In a First, Uber Agrees to Classify British Drivers as 'Workers'

The new legal classification, which follows a U.K. court ruling last month, will entitle the workers to more pay and benefits, but stops short of making them employees.

Turkish lira falls 15% after bank governor sacked

6 hours ago

Turkish lira crisis



Turkey's currency tumbled as much as 15% after President Recep Tayyip Erdogan sacked the country's central bank governor over the weekend.

The New York Times

A Quarter of Humanity Faces Looming Water Crises

The New York Times

Canada Tightens Immigration After Years of Expansion

Saying that Canada had invited too many newcomers in, in too short a period of time, Prime Minister Justin Trudeau announced lower targets to slow population growth.

How to conduct a PESTLE analysis

1. **Start broad**: Some factors only touch a single industry; others (e.g., mega-trends like digitization or a recession) will affect multiple industries.
   - Initially use a **broad scope** when considering the range of PESTLE factors
   - … But often you will identify too many factors.

2. **Then narrow**: Helps to conduct a PESTLE on a **within-country/market basis** (e.g., **U.S.** *bottled* water) to define the set of most relevant factors to consider.
   - Then **narrow** and **weight** different factors to inform how much each factor should affect your company and its strategy

PepsiCo Beverage North America (PBNA)

Handles the manufacturing, marketing, and sales of carbonated and non-carbonated beverages in NA

Try it for your Capstone company

CANVAS: Macro environment. Identify the industry in which your Capstone company most directly competes and identify two or three PESTLE factors most likely to shape its future. For each, note whether it acts mainly on a demand (WTP) driver or a cost (supply) driver.

Advice: 1) future oriented; 2) assess directionality of factor(s); 3) scenario plan; 4) connect back to current strategy

Industry analysis

Top 4,000 companies' economic-profit pools, by sector,[1] $ billion

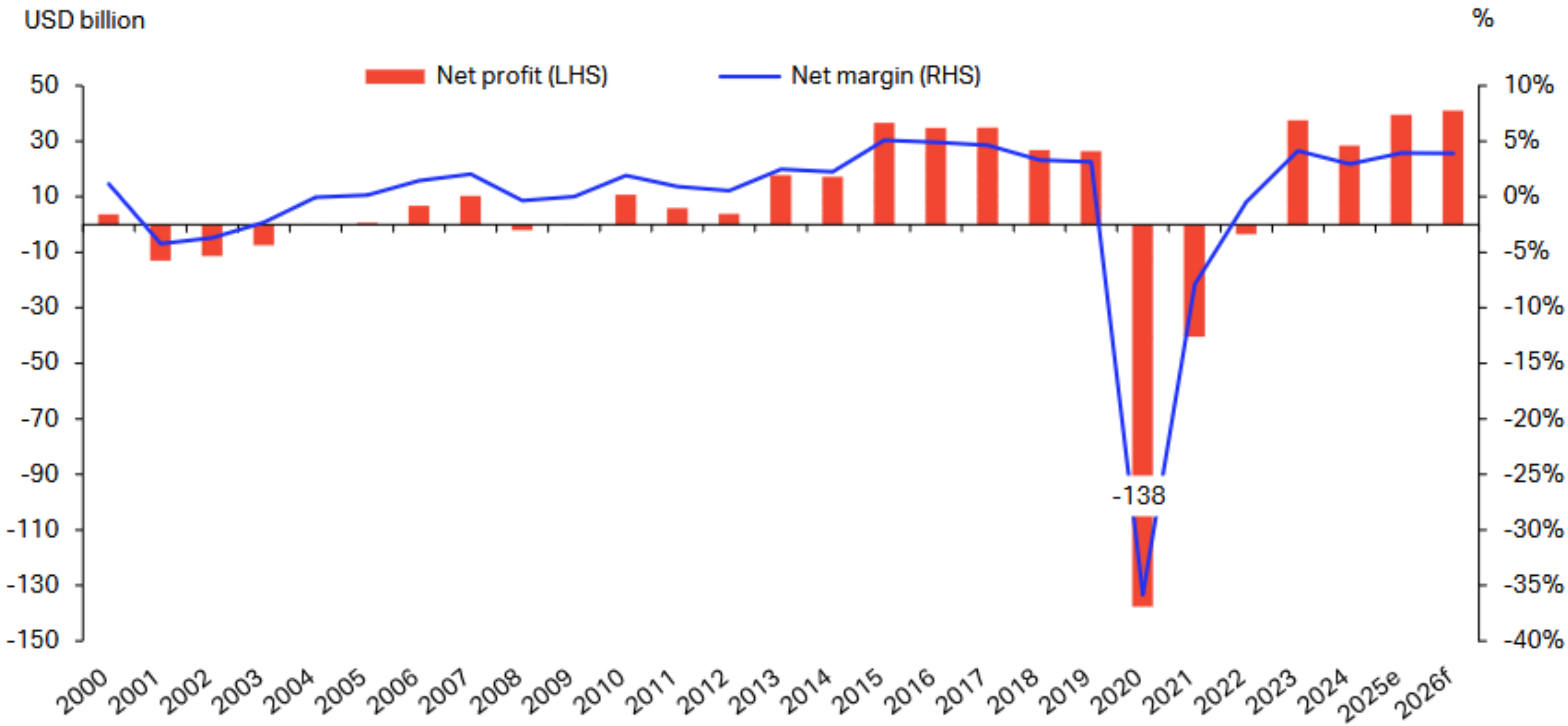
Change from 2005–09 to 2015–19: Decline by more than 10% | Increase by more than 10%

	North America		Europe		Rest of world	
	2005–09	2015–19	2005–09	2015–19	2005–09	2015–19
High technology	66	116	15	9	8	2
Pharma and medical products	52	78	50	38	11	8
Consumer	62	77	33	34	14	20
Advanced industrials	21	73	–3	25	14	25
Other	15	29	–3	–5	–8	–68
Media	–3	26	8	2	5	17
Air and travel	–7	15	–2	2	–6	–6
Telecommunications	9	4	46	11	34	15
Materials	6	–2	11	–6	8	–43
Energy	75	–96	84	–52	–4	–49
Total profit pool, period averages	**296**	**320**	**239**	**57**	**77**	**–80**

†Including goodwill and adjusted for inflation to 2021 prices. Based on a sample of the top 4,000 companies by revenue globally, excluding banks, insurance companies, and real-estate companies. Figures may not sum to totals, because of rounding. Source: S&P Global; Corporate Performance Analytics by McKinsey

Airline profits hit record high but margins stay thin

Airline industry net profit, USD billion, and net profit margin, %



Source: IATA Sustainability and Economics, using data from Airfinance Global

"If you want to be a millionaire, start with a billion dollars and launch a new airline."

A "death trap for investors" — if a capitalist had been at Kitty Hawk, he should have shot Orville Wright to save future investors from the industry's inevitable losses.

Why has the airline industry been so unprofitable?

Collective strengths of Five Forces shapes industry profitability [see your checklist]

Threat of substitutes
- Price/value
- Customer preferences
- ...

Threat of replacement

Relative power

Power of suppliers
- Supplier concentration
- ...

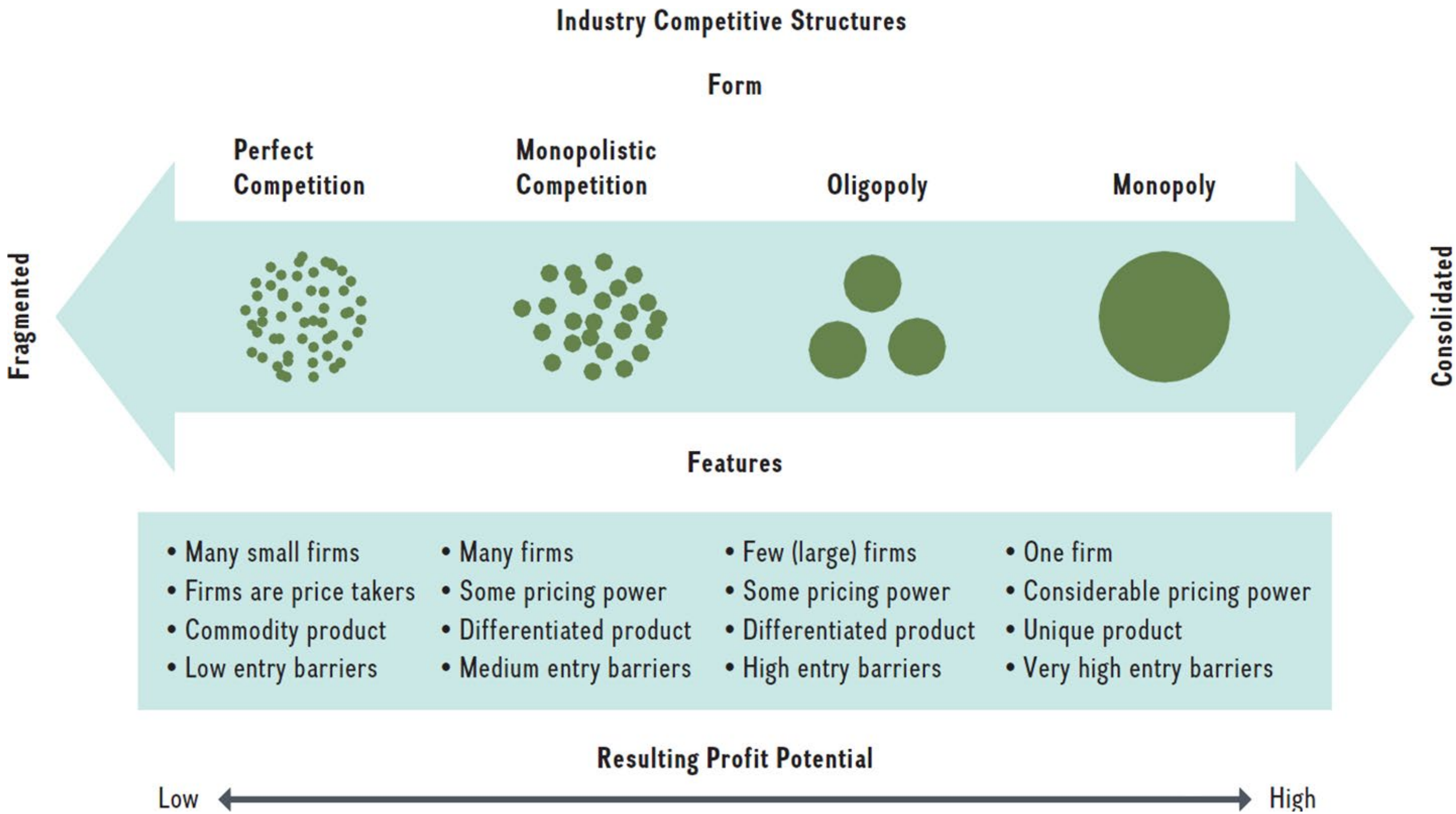
Intensity of rivalry
- Market growth
- Overcapacity
- ...

Power of buyers
- Price sensitivity
- Cost of switching
- ...

Barriers to entry
- Capital requirements
- Brand loyalty
- ...

Threat of replacement

Intensity of rivalry: Across competitive structures



Threat of substitutes

Substitutes satisfy the same set of goals or preferences

Products or services must be **outside** an **industry** that perform the same or a similar function as the industry's products:

- Pepsi vs. Coke
- PC vs. Apple laptops
- Honda Civic vs. Toyota Corolla
- Zoom vs. Teams

- Instead:
  - Pepsi vs. coffee
  - Laptops vs. tablets
  - Honda Civic vs. public transportation vs. bicycle vs. motorcycle vs. ride-sharing
  - Zoom vs. business travel

Same industry or substitutes?

Uber

- They both provide the **same core service**: transporting people from point A to point B on demand.
- They compete **directly** for the **same customers**, in the **same geographic areas**, often at the same time of day.
- So in Porter's Five Forces terms, **Uber and taxis are rivals**, not substitutes

Airline industry

Threat of substitutes **MID-HIGH**

- Short-haul: **cars and trains**.
- Business travel: **Zoom and Teams**.
- Leisure travel: staying home "**staycations**" (esp. w env. sensitive)

Power of suppliers **HIGH**

Boeing/Airbus duopoly for planes. **Unionized pilots**, crew, mechanics. **Airports** hold **local monopolies** on gates and slots. **Fuel** (~25% of costs) swings with oil.

Intensity of rivalry **HIGH**

Commoditized service (a seat is a seat). **Perishable inventory** (empty seat = $0 forever). High fixed costs pressure carriers to **fill planes at any price**. **Exit barriers** (union contracts, lease obligations) keep weak firms in.

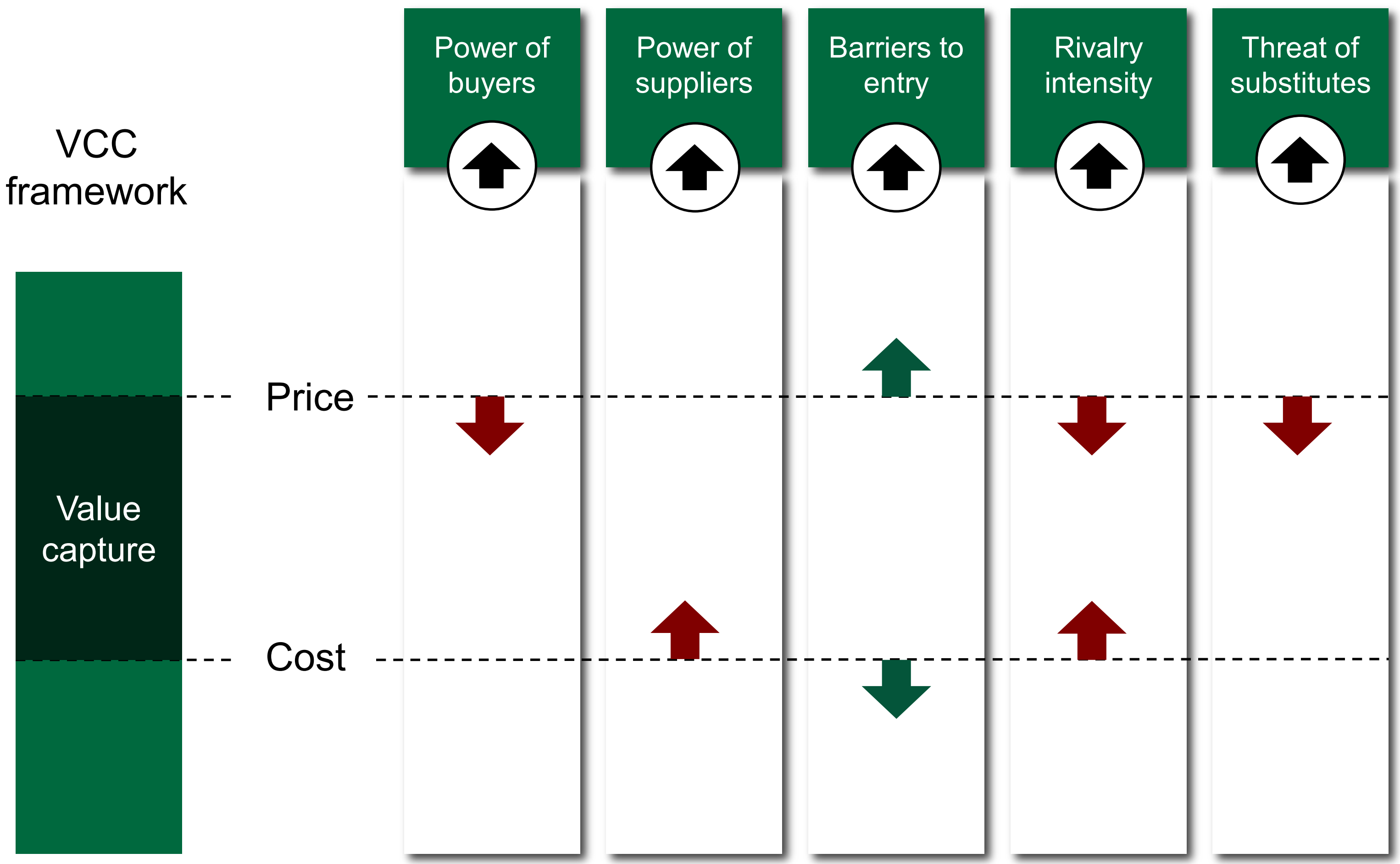
Power of buyers **HIGH**

Near-zero switching cost (e.g., Google/Kayak make fares comparable in seconds). Customers shop (almost) on **price alone**. Corporate buyers negotiate **bulk discounts**.

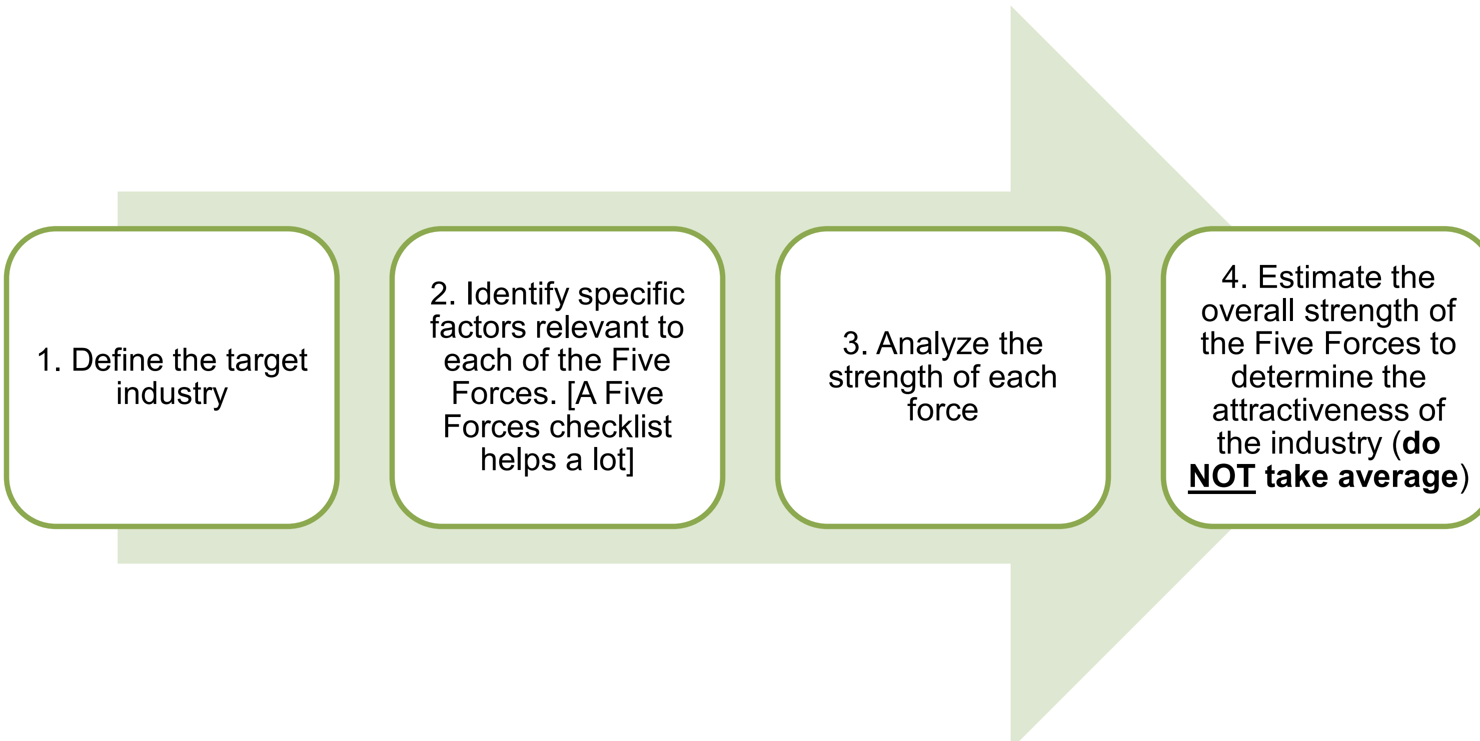
Barriers to entry **MID**

High capital (planes, gates, FAA certification) — but **used planes are liquid and leasable**, and low-cost carriers (LCCs) like Frontier and JetBlue prove small-scale entry is viable.

Effect of forces on industry profitability



How do you conduct a Five Forces analysis?



Attractiveness of an industry = The degree to which an average firm in the industry can earn profits.

Be specific when defining your industry…

Classification	Best used for	Official site
NAICS	U.S., Canada, and Mexico economic statistics; government and research data	Census NAICS page (Census.gov)
SIC	SEC filings, older regulatory and academic work	OSHA SIC Manual / SIC Search (OSHA)
GICS	Public markets, equity research, portfolio benchmarking	MSCI GICS page (MSCI)
Firm segments / business lines	Diversified firms; company-specific industry exposure	Use 10-K / annual report segments

… and know how to map the value chain.

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Try it for your Capstone company

CANVAS: Industry forces. For that same industry, which of Porter's five forces do you think most limits industry profitability, and why? (Consider rivalry, new entry, substitutes, buyer power, and supplier power.)

A Sixth Force: Complements

- A product or service that increases the value of your product when used together — customers want both, and the availability of one boosts demand for the other
- Mathematically:
  $WTP(A+B) > WTP(A) + WTP(B)$
- Examples?
  - hot dogs & buns, smartphones & apps, razors & blades, printers & ink, gaming consoles & games

Elon Musk opens up Tesla patents; it 'isn't entirely altruistic'

Company responses to industry forces: Disintermediation in the U.S. Skincare Industry

Threat of substitutes
- Shift to more natural alternatives (e.g., oils)
- Increase in imports

Customization makes product less substitutable

PROVEN

Functionality focus to differentiate

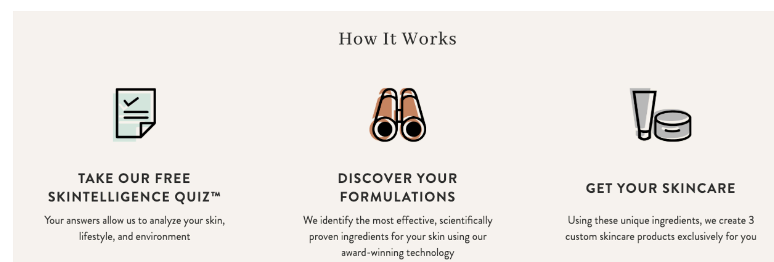
Direct-to-consumer model bypasses retailers

Power of suppliers
- Chemical inputs largely commoditized

Intensity of rivalry
- 7 major manufacturers but increasingly fragmented

Power of buyers
- Consolidated retailers
- High end: department stores
- Low end: drugstores

Barriers to Entry
- Relatively low
- Contract manufacturing



Source: provenskincare.com

Wrap

Key takeaways:

1. Strategy is a **game plan** to achieve **sustainable competitive advantage.**

2. Competitive advantage is about **value capture** – which is enabled by **unique value creation.**

3. Winning companies must decide exactly where to play, which requires analyzing the macro environment (PESTLE) and industry (Five Forces).

*When you value your Capstone company, **your number is only as good as your read of its external environment.** Get PESTLE and Five Forces wrong, and your valuation will be off.*

Why valuation lives or dies on the external environment

company value = expected future cash flows → those cash flows depend on profits → profits depend on the value wedge (WTP − cost) → the wedge is shaped by PESTLE and Five Forces.

So any valuation is really a bet on how those external forces will evolve. If you misread the environment, you misprice the company.